A RESOLUTION ADOPTING THE RULES ON THE GAS AUCTION THRESHOLD PRICE DETERMINATION METHODOLOGY, GAS PRICE BENCHMARK, AND SETTLEMENT MECHANISM FOR THE MID-MERIT NATURAL GAS CAPACITY AUCTION PROGRAM UNDER DEPARTMENT OF ENERGY CIRCULAR NO. DC2026-06-0013

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Page and section Number	Discussion of comment(s) and or Questions for Clarification	Comments and Suggestions
P.12 Sec. 8.6 Capped Landed Logistics Cost Component.	The Capped Landed Logistics Cost (CLLC), including regasification/terminal fees, pipeline transportation fees, and the BOG loss allowance, is embedded in the GAT on a PHP/kWh basis rather than recovered separately through the Fuel Cost Pass-Through mechanism. However, certain LNG infrastructure costs, particularly terminal capacity reservation and pipeline-related charges, may be fixed or capacity-based and may therefore be incurred regardless of the actual amount of energy dispatched and delivered. Since the GAT is determined based on an assumed Reference Capacity Factor, how will the CLLC setting and recovery mechanism address a situation where actual dispatch is materially lower than the Reference Capacity Factor assumed in determining the GAT, particularly where the lower dispatch is outside the Winning Bidder's control?	We respectfully recommend that the methodology for determining the CLLC appropriately reflect the fixed or capacity-based nature of LNG infrastructure costs and the expected dispatch profile of mid-merit generation. Where actual dispatch is materially lower than the Reference Capacity Factor assumed in determining the GAT due to conditions outside the Winning Bidder's control, the Rules should provide an appropriate adjustment or reconciliation mechanism to address under-recovery of prudent and reasonable fixed or committed LNG infrastructure costs.
P.24 Sec. 19. Reference Heat Rate Cap	The proposed Rules provide for a Reference Heat Rate Cap for each Facility Type, beyond which fuel consumption attributable to inefficient operation will not be recoverable through the Fuel Cost Pass-Through mechanism. However, the facilities under this scheme are intended to operate as mid-merit generation capacity. Their actual operating load may therefore vary depending on system dispatch requirements, including the need to balance fluctuations in other generation sources. As a result, generators may frequently operate at partial load, where the Heat Rate is generally higher than at full-load operation. How will the Reference Heat Rate Cap take into account the expected operating profile of mid-merit generation, including part-load operation, ramping, and start-up/shutdown resulting from system dispatch requirements?	We respectfully recommend that the Reference Heat Rate Cap be established based on a representative mid-merit operating profile rather than solely on the Heat Rate achievable under full-load or optimal operating conditions. The methodology should appropriately take into account Heat Rate degradation resulting from part-load operation, ramping, start-up/shutdown, and other operating conditions arising from system dispatch requirements. Such efficiency degradation, to the extent it results from dispatch conditions outside the Winning Bidder's control, should not be treated as inefficient operation attributable to the Winning Bidder for purposes of Fuel Cost Pass-Through.

P. 25 Sec. 23 Commission Certification of Monthly Fuel Cost.	Under the proposed Fuel Cost Pass-Through mechanism, the Winning Bidder bears the risk of any difference between the actual LNG procurement cost and the applicable Gas Price Benchmark (i.e., the three-month trailing average JKM) where the actual procurement cost exceeds the benchmark. However, it may not always be possible to procure LNG at or below the applicable JKM benchmark due to prevailing market conditions, cargo availability, delivery timing, volume requirements, and other reasonable commercial considerations. This may also arise under a prudent long-term LNG supply agreement during periods when the contract price exceeds the prevailing JKM benchmark.	We respectfully recommend that the Rules provide an appropriate mechanism for the recovery of actual LNG procurement costs above the applicable JKM benchmark where the Winning Bidder can demonstrate that such costs were prudently and reasonably incurred.
Rule 2, Sec. 8.6; Rule 3, Sec. 17; Sec. 20 – Allowable Add-On Cost Caps	Can the Commission clarify whether the caps for regasification/terminal fees, pipeline transportation fees, and BOG loss allowance will be differentiated based on the actual terminal, geographical location, contractual arrangement, infrastructure configuration, and gas-delivery route applicable to each project, or whether uniform caps will apply across all Winning Bidders?	We recommend a benchmark-plus-project-specific review mechanism. ERC may retain standard caps for ordinary cases, but Winning Bidders should be permitted to demonstrate higher prudent costs due to project-specific circumstances, based on appropriate supporting documentation such as executed terminal agreements, pipeline contracts, competitive quotations and reasonable utilization assumptions.